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Latest AI policy shifts in the US and EU

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AI Policy Landscape: United States and European Union (Early 2026)

Introduction

As of early 2026, the AI policy landscape in the United States and the European Union reflects two divergent yet increasingly active regulatory philosophies.

- **European Union**: The EU's **AI Act**—the world's first comprehensive binding legal framework for artificial intelligence—is now in phased implementation. Core obligations for **high-risk AI systems** (Articles 9–49) take effect on **August 2, 2026**, including requirements for:
  - Risk management
  - Data quality
  - Transparency
  - Human oversight
  - Conformity assessments

  High-risk systems (defined under **Article 6** and **Annex III**) include applications in:
  - Healthcare
  - Education
  - Employment
  - Law enforcement
  - Biometric identification
  - Regulated products (e.g., medical devices; full compliance by **August 2, 2027**)

  Enforcement is led by:
  - The **EU AI Office** (for general-purpose AI models)
  - **National supervisory authorities** (for sector-specific systems)

  Penalties:
  - Up to **€35 million or 7%** of global turnover for prohibited practices

    - Up to **€15 million or 3%** for high-risk violations

  Over **100 companies** have joined the voluntary **AI Pact** to accelerate readiness.

- **United States**: The U.S. maintains a **hybrid approach**, combining:
    - **Executive Order 14110** (October 2023)
    - **America's AI Action Plan** (July 2025)

  This framework establishes:

    - Non-binding federal standards for "rights-impacting" and "safety-impacting" AI
    - Agency-led risk mitigation frameworks
    - Binding procurement rules for large language models (effective **March 2026**)

  While federal regulation remains largely **guidance-based**, **state-level laws** (e.g., in Colorado) are introducing enforceable anti-discrimination and algorithmic accountability requirements with real penalties.

Both regions converge on core principles:

- Structured risk assessments
- Auditability
- Documentation (e.g., model cards, incident response plans)
- Safeguards in high-stakes domains (employment, finance, healthcare, public services)

However, the **EU enforces these through hard law**, while the **U.S. relies on executive authority, sectoral regulation, and emerging state statutes**.

United States: Key Policy Developments (2024–2026)

As of early 2026, U.S. federal AI policy has shifted significantly under the Trump administration.

Executive Order 14365: "Ensuring a National Policy Framework for Artificial Intelligence"

Signed on **December 11, 2025**, this EO advances a **minimally burdensome, nationally uniform** approach to AI governance and seeks to **limit state-level regulation**.

Key Provisions:

- **AI Litigation Task Force**: The Attorney General must establish this within **30 days** to challenge state regulations deemed:

    - Inconsistent with federal AI policy
    - Unconstitutional (e.g., regulating interstate commerce)
    - In conflict with federal law
- **Commerce Department Review**: By **March 11, 2026**, the Secretary of Commerce must identify state AI laws that may obstruct federal goals, potentially triggering legal action.
- **Federal Funding Leverage**: The EO authorizes withholding certain congressionally approved funds (e.g., non-deployment BEAD funds) from states with "onerous" AI regulations.
- **FTC Clarification**: The FTC Chair must issue a policy statement within **90 days** clarifying:
    - Application of the FTC Act to AI
    - Circumstances under which state laws mandating AI output changes may be overridden

State Authority Carve-outs:

The EO preserves state jurisdiction in:

- Child safety protections
- AI computing and data center infrastructure
- State government procurement

Legislative Context:

- **EO 14365 supersedes Biden's EO 14110**
- Awaiting congressional action on the **TRUMP AMERICA AI Act** ("The Republic Unifying Meritocratic Performance Advancing Machine Intelligence by Eliminating Regulatory Interstate Chaos Across American Industry Act"), which would codify the EO's principles
- **No comprehensive federal AI law enacted as of February 2026**
- Some state laws remain in effect despite tensions (e.g., **Nevada's January 1, 2026** requirement to disclose AI-manipulated election materials)

European Union: Implementation of the AI Act

The **EU AI Act** is being implemented in phases from **2025 to 2027**.

Key Milestones:

- **August 2025**: General provisions and prohibitions take effect

- **August 2, 2025**: Obligations for **general-purpose AI (GPAI)** providers begin (with a **two-year grace period** for existing models)
- **August 2, 2026**: Full enforcement begins, including rules for **high-risk AI systems** listed in **Annex III** (earlier than previously anticipated)

Risk-Based Classification:

AI systems are categorized into four tiers:

1. **Unacceptable risk** → **Prohibited**
2. **High-risk** → Subject to strict compliance
3. **Limited-risk** → Transparency obligations
4. **Minimal/no risk** → Largely unregulated

High-Risk AI Requirements:

Systems used in critical sectors or as safety components in regulated products must comply with:

- Technical documentation
- Robust risk management
- Human oversight
- Fundamental rights impact assessments

Dynamic Scope via Annex III:

- The European Commission can update **Annex III** through **delegated acts** under **Article 97**
- Recently reinforced by the **Digital Omnibus amendments**

General-Purpose AI (GPAI) Rules:

- GPAI providers must ensure **transparency** and **data governance**
- **Systemic-risk models** face additional obligations:
  - Standardized evaluations
  - Incident reporting
  - Adversarial testing
  - Cybersecurity measures
  - Registration in the **EU-wide database** (Article 71)

Governance Structure:

- Each Member State must designate by **August 2, 2025**:
  - At least one **notifying authority**
  - One **market surveillance authority** (collectively: **national competent authorities**)
- These serve as single points of contact for enforcement
- **Market surveillance authorities** monitor compliance and report annually to the Commission and national competition authorities

Coordination Mechanisms:

- **European AI Board**: Advises the Commission and Member States to harmonize practices
- **European AI Office** (under the Commission): Oversees systemic-risk GPAI models, including non-EU providers (who must appoint an authorized representative)

Implementation Challenges:

- Technical complexity and cross-references
- Administrative burdens
- Risk of inconsistent enforcement without strong interinstitutional cooperation and simplification efforts

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Transatlantic Coordination and Divergence

The **U.S.-EU Trade and Technology Council (TTC)**, established in 2021, remains the primary forum for transatlantic coordination on tech governance.

Recent TTC Outcomes (2025):

- Extended semiconductor supply chain coordination under **Working Group 3**
- Launched a dedicated **AI dialogue** to align risk management approaches
- Advanced joint initiatives:
  - Catalog of “green public procurement” best practices
  - Continued collaboration on export controls related to Russia’s war in Ukraine

Persistent Divergences:

Dimension	European Union	United States
Regulatory Philosophy	Prescriptive, rights-based (grounded in GDPR & EU Charter)	Sectoral, innovation-oriented
Legal Foundation	Binding AI Act	Executive orders + NIST AI RMF
Privacy Framework	Comprehensive (GDPR)	No federal privacy law
Enforcement	Centralized + national authorities	Fragmented (federal guidance + state laws)

Ongoing Collaboration:

- TTC's **ten co-led working groups** address:
  - Strategic technologies
  - Clean energy
  - Economic security
  - Assessments of China's non-market practices

Challenges to Harmonization:

- Divergent **data governance** models
- Conflicting **national security doctrines**
- Differences in **public procurement** rules

Outlook:

While the TTC has **reinvigorated strategic alignment** amid global tech competition, its **long-term efficacy** depends on:

- Domestic political stability
- Delivering tangible outcomes that justify continued stakeholder engagement

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